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A ballot proposal to nullify tax on wealthy

A group funded by tech billionaires is flooding mailboxes with new initiative.

By Seema Mehta

California voters are being urged to put a poison-pill effort on the November ballot that would nullify a proposed tax on the state's billionaires.

Neither proposal has yet qualified for the ballot — supporters of each need to gather the verified signatures of hundreds of thousands of voters. But petitions that have been mailed and texted to California voters in recent days demonstrate the stakes in a contest that has already drawn tens of millions of dollars in campaign spending.

"Government has wasted billions of our tax dollars on homelessness and many other failed programs with little to show for it," reads the new mailing to voters. "We can't afford more wasteful spending!"

If both proposals appear on the ballot, the measure that receives the most votes will trump the other initiative.

The new proposal is aimed at countering a proposed one-time 5% tax on billionaires' assets that would pay for healthcare for the state's neediest residents to backfill federal funding cuts by the Trump administration, but that opponents say would lead to lost tax revenue as California's wealthiest residents flee the state.

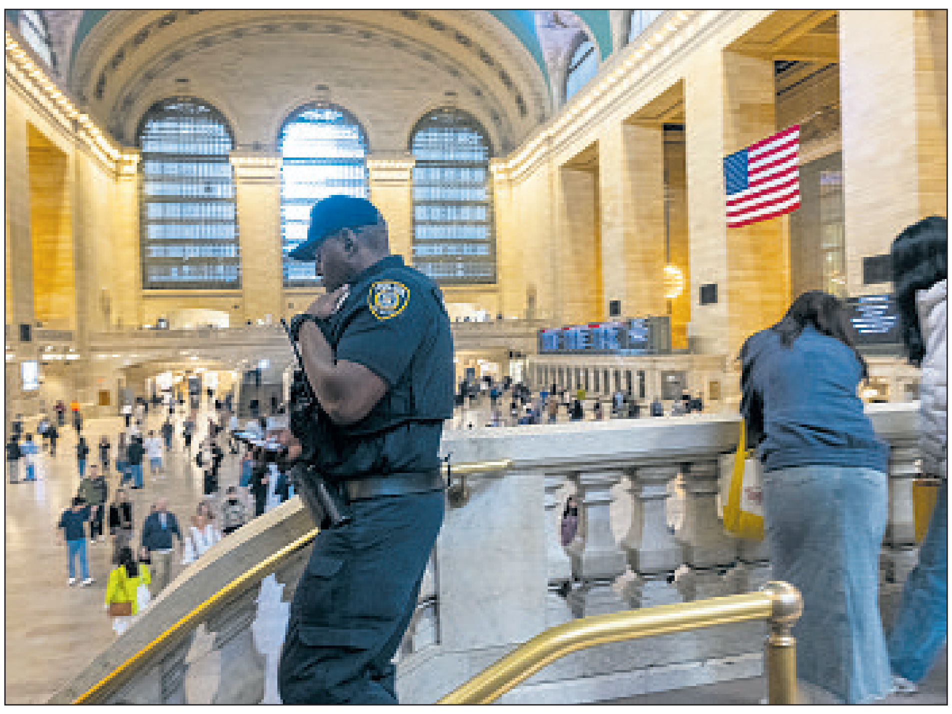
Mailers and texts recently sent to voters describe the new proposal as an effort to create a more accountable, transparent and effective state government that would require auditing of new state taxes and ensuring they comply with existing law.

However, the small-font description of the proposed initiative included in the mailing specifies that any new tax enacted after Jan. 1 must be deposited into the state's general fund and conform with current state tax policy, an oblique reference to a prior voter-approved ballot measure requiring that a significant portion of the state's tax revenue be spent on education.

Even if both proposals receive the support of the majority of the electorate, the billionaire tax would go into effect only if the poison pill

[See Billionaires, A8]

Ibrahim Amro AFP/Getty Images



Spencer Platt Getty Images

SMOKE rises, top, after an Israeli strike on Beirut's southern suburbs. Above, Grand Central Terminal amid the "heightened threat environment" in New York.

Conflict could unleash threats on U.S. soil

Islamic Republic may deploy sleeper cells, lone wolves or cyberattacks, federal authorities warn

By Richard Winton

With U.S. and Israeli forces continuing offensive strikes on Iran, federal counterterrorism authorities are warning that the desperate theocracy could launch retaliatory strikes on American soil using sleeper cells, affiliated Iranian terrorist groups, lone wolf sympathizers or targeted cyberattacks.

Within days of the killing of Iranian Supreme Leader Ayatollah Ali Khamenei on Feb. 28, cryptic messages were broadcast globally on a new shortwave radio frequency.

"Tavajjoh! Tavajjoh!" the message began, using the Persian word for "attention." The eerie male voice then read a seemingly random string of numbers.

The monotone transmission recalled the manner in which deep-cover Cold War spies for the KGB and CIA once received orders. Using a special encryption code, the operatives could translate the numerals into a readable message. Although messages from so-called number stations have been broadcast for decades, they are now less prevalent in the digital encryption age.

Federal authorities warned local law enforcement that they had detected a new broadcast of a likely encoded sequence that could be "an operational trigger" for "sleeper assets" potentially on U.S. soil.

At a news conference Monday, President Trump said officials were "on top" of the situation.

"They've been trying for a long time, and we've been very much on top of it," Trump said in response to a question about whether Iran might activate sleeper cells in the U.S. "We're watching every single one of them, yeah. We know a lot about them."

Although counterterrorism investigators have so far found no credible specific threat, a memo to police agencies, first reported by ABC News, calls for local law enforcement to be on heightened watch. The alert describes the "preliminary signals analysis"

[See Threats, A10]

140 U.S. troops wounded since start of Iran war

The Islamic Republic reportedly lays mines in Strait of Hormuz, adding to the oil crisis.

By Ana Ceballos

WASHINGTON — Some 140 American service members have been wounded since the start of the Iran war, with eight of them "severely injured" and receiving medical care, the Pentagon said Tuesday.

"The vast majority of these injuries have been minor, and 108 service members have already returned to duty," Pentagon spokesperson Sean Parnell said in a statement.

The casualty toll adds to the seven American troops killed so far in the war, which entered its 11th day with no clear sign of slowing down as U.S. officials indicated that the military campaign was likely to intensify.

Iran, too, took new actions that could escalate the conflict, reportedly laying mines in the Strait of Hormuz, a potentially devastating development for the global energy market.

President Trump said that if Iran put mines in the strait and did not remove them immediately, the U.S. military would hit Iran "at a level never seen before."

"If, on the other hand, they remove what may have been placed, it will be a giant step in the right direction!" Trump wrote on Truth Social.

The warning was yet another escalation that came after Defense Secretary Pete Hegseth said Tuesday would bring the "most intense day of strikes" inside Iran, a fighting tempo that is at odds with Trump's own assessment that the war is "very complete" and could end "very soon."

At a Pentagon news conference, Hegseth said "the most fighters, the most bombers, the most strikes" would be deployed but declined to say how much longer U.S. forces would be expected to fight in the region. He instead said the president will be the one to "control the throttle."

"It's not for me to say whether this is the beginning, the middle or the end.

[See Iran, A3]

Russia capitalizes on oil disruptions

Spike in prices boosts energy revenue and shifts global attention away from Ukraine.

By Gavin J. Quinton

WASHINGTON — Russia is emerging as one of the few early economic beneficiaries of the war with Iran, as disruptions to energy infrastructure drive up demand for Russian exports and the world casts its gaze to the Middle East and away from Moscow's war in Ukraine.

The U.S. and its European counterparts slapped severe sanctions on Russia in March 2022, barely a month into Russian President Vladimir Putin's full-scale invasion of Ukraine. The effect was a stranglehold on Russia's exports, depriving Putin's war effort of at least $500 billion, experts say. But over the last week, as President Trump's war in the Middle East choked energy markets worldwide, the White House began easing its restrictions on Moscow.

"It is traitorous conduct for you to help Russia," California Rep. Ted Lieu (D-Torrance) said on X, demanding the Trump administration reverse course. "Russia is giving intelligence info to Iran that helps Iran target American forces."

Crude droplets rained over Tehran after Israeli airstrikes decimated oil depots, draping the Iranian capital in a dense smog. Iranian counterattacks have also targeted refineries and oil fields in Saudi Arabia and Bahrain. Crude oil prices have surged, and traffic through the Strait of Hormuz has all but ceased, sending energy importers in search of alternate sources.

Those spikes are giving Russia, one of the world's largest oil and gas exporters, a rare advantage. After spending a decade as the world's most sanctioned nation over his aggression in Ukraine, Putin is finally starting to regain some leverage in global markets.

"In the current economic situation, if we refocus now on those markets that need increased supplies, we can

[See Russia, A3]

WAR'S SIDE EFFECT: Soaring gas prices could boost electric vehicle sales in California. **BUSINESS, A11**

A Section 8 renter's string of lawsuits

Spurned applicant's lawyer says she's fighting bias. Critics see a shakedown.

By Jack Flemming

A gaggle of scorned landlords and real estate agents across L.A. have a message: If Alexys Watson messages you on Zillow asking if you accept Section 8 vouchers, choose your next words very, very carefully.

Over the last eight months, dozens of landlords and real estate agents have responded to Watson's inquiries — and dozens have been sued for at least $100,000. The lawsuits allege discrimination for refusing a Section 8 applicant, regardless of whether they actually declined her application.

"I have to ask the owners and get back to you," one agent wrote. $100,000 lawsuit.

"The house might be too old to meet the requirements," another wrote. $100,000 lawsuit.

A review of hundreds of lawsuit exhibits show: One landlord accepted her application, but never got the house inspected by the city to qualify it for Section 8 tenancy. At least nine others never even put a decline into writing; the only exhibits in the lawsuits filed against them are screenshots of call logs (sans audio) and texts from Watson to each one claiming that they declined her over the phone.

Each time, a lawsuit.

More than 40 of them filed since summer.

Watson declined to speak for this article. Her lawyer, Alexander Robinson, claims the lawsuits are a result of rampant discrimination against a single mother genuinely looking to find housing for her and her children,

[See Housing, A8]

LAUSD chief breaks silence

Schools Supt. Alberto Carvalho "acted appropriately," his counsel says after FBI raids. CALIFORNIA, B1

Conflict clouds World Cup

With kickoff in three months, the soccer tournament looks to be the most political in history. SPORTS, B10

Stars will align for lit event

L.A. Times Festival of Books schedule has Lionel Richie and Sarah Jessica Parker. ENTERTAINMENT, E1

Weather
Partly sunny.
L.A. Basin: 74/57. **B5**

For the latest news, go to **latimes.com**.

DTLA co-founder accused

Ex-partner at law firm in historic sex abuse case faces State Bar charges over out-of-state practice

By Rebecca Ellis

Myung J. Chun Los Angeles Times

DTLA LAW GROUP left out-of-state clients in the lurch, the State Bar alleges. Above, its headquarters.

The State Bar of California has charged a founding partner of Downtown LA Law Group, a law firm at the center of a scandal that has embroiled Los Angeles County's historic sex abuse settlement, with signing up dozens of clients in states where none of the firm's lawyers were licensed to practice.

The bar charged Salar Hendizadeh, who left the firm in the fall, on March 5 with helping one of Southern California's largest personal injury law firms sign accident victims across the country, despite lacking attorneys who could litigate the cases in other states. Hendizadeh was charged with 11 counts, including deceptive advertising and charging illegal fees.

State Bar Chief Trial Counsel George Cardona said in a statement that the allegations, if proved, "represent dishonest and illegal conduct."

Neither Hendizadeh nor a spokesperson for the law

[See DTLA, A10]